

development.

This book is for entrepreneurs of all stripes: from young visionaries with little backing but great ideas to seasoned visionaries within larger companies such as Mark—and the people who hold them accountable.

IF I'M AN ENTREPRENEUR, WHAT'S A STARTUP?

The Lean Startup is a set of practices for helping entrepreneurs increase their odds of building a successful startup. To set the record straight, it's important to define what a startup is:

A startup is a human institution designed to create a new product or service under conditions of extreme uncertainty.

I've come to realize that the most important part of this definition is what it omits. It says nothing about size of the company, the industry, or the sector of the economy. Anyone who is creating a new product or business under conditions of extreme uncertainty is an entrepreneur whether he or she knows it or not and whether working in a government agency, a venture-backed company, a nonprofit, or a decidedly for-profit company with financial investors.

Let's take a look at each of the pieces. The word institution connotes bureaucracy, process, even lethargy. How can that be part of a startup? Yet successful startups are full of activities associated with building an institution: hiring creative employees, coordinating their activities, and creating a company culture that delivers results.

We often lose sight of the fact that a startup is not just about a product, a technological breakthrough, or even a brilliant idea. A startup is greater than the sum of its parts; it is an acutely human enterprise.

The fact that a startup's product or service is a new innovation is also an essential part of the definition and a tricky part too. I prefer to use the broadest definition of product. one that encompasses any